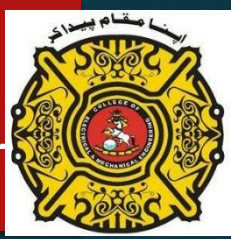




Professional Ethics



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LECTURE – 11



Course Information



Course Name	Professional Ethics
Course Code	HU-222
Credit Hours	2
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Visiting Hours	2-4 pm

Decision Making

- ▶ Cognitive process resulting in the selection of a belief or a course of action among several alternative possibilities





The Influence of Culture on Decision Making



- ▶ One of the major cultural variables affecting decision making is whether people tend to assume an **objective approach** or a **subjective approach**
- ▶ Western approach is based on rationality
- ▶ Latin Americans, Asians among others, tend to be more subjective, basing decisions on emotions



The Influence of Culture on Decision Making



- ▶ **Risk tolerance** of those making the decision
- ▶ Belgium, Germany, Austria, and Pakistan have a considerably lower tolerance for risk
- ▶ Japan or the Netherlands have considerably high tolerance for risk
- ▶ American managers have the highest tolerance for risk



The Influence of Culture on Decision Making



- ▶ Manager's perception of the **locus of control** over outcomes
- ▶ Locus is internal or external
- ▶ Some managers feel they can plan on certain outcomes because they are in control of events
- ▶ Other managers believe that such decisions are of no value because they have little control over the future—which lies in the hands of outside forces, such as fate, God, or nature
- ▶ Indonesia and Malaysia among them, tend to be resigned to problem situations



A Case to Discuss



- ▶ In his first loan negotiation, an American banker new to Japan met with seven top Japanese bankers who were seeking a substantial amount of money. After hearing their presentation, the American agreed on the spot. The seven Japanese then conferred among themselves and told the American they would get back to him in a couple of days regarding whether they would accept his offer or not. The American banker learned a lesson he never forgot



Individual Decision Making



- ▶ Based on Stanley Krolick categorization:
 - Individualism
 - Altruism
 - Pragmatism
 - Idealism



Individualists



- ▶ Driven by natural reason, personal survival, and preservation
- ▶ “If I don’t take care of my own needs, I will never be able to address the concerns of others.”
- ▶ The moral authority of individualists is their own reasoning process, based on self- interest
- ▶ Individualism is related to the principle of naive ethical beliefs and to productivism



Altruists



- ▶ Concerned primarily with other people
- ▶ They would, as an extreme, like to ensure the future of humans
- ▶ They would not diligently calculate and measure costs and benefits
- ▶ They enter relationships from a desire to contribute to the common good and to humankind
- ▶ Altruists are akin to universalists and philanthropists



Pragmatists



- ▶ Concerned primarily with the situation at hand, not with the self or the other
- ▶ The needs of the moment dictate the importance of self-interest, concern for others, rules, and values
- ▶ Pragmatists may abandon significant principles and values to produce certain results
- ▶ Although this style may seem the most objective and appealing, the shifting ethics of pragmatism make this orientation (and the person who adopts it) difficult and unpredictable in a business environment



Idealists



- ▶ Driven by principles and rules
- ▶ Idealists' moral authority and motivation are commitment to principles and consistency
- ▶ Seen as people with high moral standards, idealists can also be rigid and inflexible
- ▶ This absolute adherence to principles may blind the idealist to the potential consequences of a decision for oneself, others, or the situation

The Idealist

The Light Side	The Dark Side
You may stubbornly hold to a principle or ideal you believe in. You don't compromise on the important things. You're motivated by that principle-sometimes, right or wrong.	When you prioritize your ideals above all else, your inflexibility may cause conflict with others. Robespierre idealistically guillotined a bunch of people for the sake of the French Revolution.

The Individualist

The Light Side	The Dark Side
An individualist places a high value on his/her own self interests and survival. Me first, then You.	By focusing on everyone's sacred responsibility to look out for him/herself, others' needs can be overlooked or neglected. Compassion for the weak sometimes get left behind.

The Altruist

The Light Side	The Dark Side
The altruist cares for everyone and advances the greater good of the group, winning respect from all. This is one of the most admired moral styles in religion and popular culture.	Someone who's too much of an altruist can be a doormat. Altruists value other people more highly than themselves. In the spirit of fairness, you should respect yourself to the same degree you respect others.

The Pragmatist

The Light Side	The Dark Side
The moral compass of the pragmatist is facts and the situation at hand - not others as with the altruist, and not even themselves. Progress can be impossible if there is no pragmatism in the mix.	If a pragmatist believes in weighing costs and benefits where "the end may justifies the means;" they can take unethical pathways towards their practical goals. They may not be interested in making ethical sacrifices, if doing so doesn't calculate.

Individual Decision-Making Matrix

THANK YOU.....

